	B	A
USD	6.72%	7.20%
AUD	6.48%	6.96%

Answer to AUD homework question

$S_0 = \$0.50/AUD$, $E(S_1) = \$0.48/AUD$

Borrow AUD & buy USD

Borrow 40 million AUD at 6.96%

(pay back $40 \cdot \left(1 + \frac{6.96\%}{12}\right) = 40{,}232{,}000$

Convert to USD, deposit at 6.72%

AUD $40{,}000{,}000 \cdot \$0.5/1 = \$20{,}000{,}000$

Proceeds:

$\$20^m \cdot \left(1 + \frac{6.72\%}{12}\right) = \$20{,}112{,}000$

AUD $40{,}232{,}000 \cdot \$0.48/AUD = \$19{,}311{,}360$

calculate π in USD

$\pi = \$20{,}112{,}000 - \$19{,}311{,}360 = \underline{\underline{\$800{,}640}}$